## Executive Summary 1.1

This report has been commissioned for the management of Alpha Athletics. This report will:

→ Outline, sketching in general terms, how product differentiation plays a role in the business. As it helps to improve quality and therefore sales, but does increase costs.

→ Discuss, showing for and against, how technology and environmental sustainability are affecting AA. Influences include increased costs, better reputation, greater efficiency and greater lead times

→ Recommend, drawing points for the use of outsourcing and supply chain management. Both of which help to achieve speed, quality and dependability by increasing efficiency, reducing time wastage and lowering cost.

## Role of Operation Management 2.1

Operations management, specifically product differentiation, plays a major role in the success of Alpha Athletics. Product differentiation aims to managers improving the quality of products by including innovative and unique features that are innovative in design. Effective product differentiation has helped AA to increase demand and achieve the performance objective of quality. However, product differentiation often sacrifices cost for quality, causing expenses to increase. This may have a knock on effect to the production line, affecting the performance objective of speed. Overall, the product differentiation of innovative designs and materials have helped AA to gain a competitive advantage and increase sales due to increased quality.

## Operations Influences 3.1

Two operations influences impacting AA and their achievement of performance objectives are quality expectations and ~~technology~~ environmental sustainability.

## Environmental Sustainability 3.2

Environmental sustainability is influencing AA as it is encouraging the business to continue to source quality and sustainable materials, providing both positive and negative benefits. Environmental sustainability refers to the actions of a business that preserve the environment both currently and for

future generations. The first influence on AA that is posed by this is that the materials they source for manufacturing are more expensive and thus increase the cost of inputs. This will lead to a lack of investment in areas such as technology in the production line, which could lead to improved operational capacity. Therefore effecting the achievement of the performance objective of speed. However, a positive influence placed on the business by environmental Sustainability is that, despite higher costs, sustainable materials are increasing both quality and dependability of outputs. Producing outputs in a sustainable fashion will often lead to products that are minimal in defects and are reliable, this is due to the extra care and attention to detail put in place in production. Lastly, another positive influence is that, as a result of sustainable materials and manufacturing, brand reputation of AA will improve. This can be seen in increased engagement with people in the fitness industry, if production is sustainable, people are more likely to engage with the business as they are supporting the environment indirectly.

Technology 3.3

Technology is influencing the business in both negative and positive ways. Technology refers to all machinery involved in the operation process that contributes to production and efficiency. As seen, technology has helped AA to provide customers with innovative materials and designs, leading to higher demand and thus scale up. Additionally, technology has helped to provide products for a range of customer needs due to its ability

to increase flexibility and customisation, both key objectives for any successful business. On the other hand, technology is negatively influencing AA as their operational capacity is running out, causing the orders to lack dependability and the production process to lack speed. Both of which may affect quality if not addressed appropriately.

leading to increased lead times and thus decreased speed of ops.

## Operations Strategies 4.1

Supply Chain Management and Outsourcing are recommended to managers at AA due to their abilities to help in the achievement of speed, quality and dependability, the businesses performance objectives.

## Outsourcing 4.2

Outsourcing is recommended to AA management as it benefits the business, helping it to achieve performance objectives. Outsourcing involves the hiring of another company to perform a task that is out of the businesses expertise, such as logistics or production. Advantages of outsourcing that AA must consider are that outsourcing allows businesses to maintain focus on the core activity of the business, leading to the achievement of both quality and speed, as more attention is focused on improving efficiency, planning, material sourcing etc. Another point for the use of outsourcing is that the outsourced task will be performed at a high quality and efficiency due to the contracted company specialising in the task, reducing risk of

error and mistakes in any developmental process that may be performed by AA. The final advantage for the use of Outsourcing is that it will reduce costs for AA as extra staff, insurance payments, superannuation etc do not have to be accounted for. Overall, outsourcing helps AA to achieve speed and quality due to its efficient returns.

## 4.3 Supply Chain Management

Supply chain management is recommended to AA as it increases dependability and speed and quality for the business. Supply Chain Management refers to the process of transporting, obtaining and sourcing materials from supplier to manufacturer, and includes logistics, e-commerce and global sourcing. Improving logistics, which can be done by outsourcing, will help AA to achieve dependability as transportation of materials will be efficient, resulting in orders being to customers being more consistent and reliable. E-commerce refers to business conducted electronically, an advantage of this is improving the already high social engagement and exposure by introducing an online store. Additionally, speed will be improved by introduction of e-commerce as communications with suppliers will be more effective and efficient, reducing time wastage and thus increasing speed. Global sourcing refers to taking advantage of global markets by obtaining materials from overseas. Global sourcing is too recommended to AA as it helps to improve quality. Quality is increased due to AA's ability to choose from a wider range of suppliers, also helping to lower costs of

materials.

Strategies Conclusion 4.4

Outsourcing and Supply Chain management are recommended for the managers of Atlas they hope to achieve objectives of speed, quality and dependability through reduced time wastage, greater efficiency and higher quality inputs.



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**Business Report Marking Grid Year 12 Business AT1 2025**

| | Executive Summary | Operations Role | Influences | Strategies | Writing Style | BR format |
|---|---|---|---|---|---|---|
| **Band A (17-20)** | **Detailed** outline of what the report will include, breaking down the directive verb and include proposals | Provides a **comprehensive** outline of the role of operations management for this business. | **Comprehensively** discusses **TWO** influences that are impacting this business's operations processes. | **Comprehensively recommends** supply chain management **AND** outsourcing operations strategies to meet this business's performance objectives. | Makes **effective** use of the information provided, demonstrating extensive knowledge and understanding relevant to the question | Presents a **sustained**, logical and cohesive business report integrating relevant business terminology and concepts |
| **Band B (13-16)** | **Outline** of what the report will include, breaking down the directive verb | Provides a **substantial** outline of the role of operations management for this business. | **Discusses TWO** influences that are impacting this business's operations processes. | **Recommends** supply chain management **AND** outsourcing operations strategies to meet this business's performance objectives. | Makes **sound** use of the information provided, demonstrating knowledge and understanding relevant to the question | Presents a **logical** and cohesive business report using relevant business terminology and concepts |
| **Band C (9-12)** | **Features** of what the report will include, breaking down the directive verb | Provides a **sound** outline of the role of operations management for this business. | **Describes TWO** influences that are impacting this business's operations processes. | **Explains** supply chain management **AND** outsourcing operations strategies to meet this business's performance objectives. | Makes **some** use of the information provided, demonstrating some knowledge and understanding relevant to the question | Includes **features** of a business report and uses some business terminology and concepts |
| **Band D (5-8)** | **Some** features of what the report will include | Provides **some** outline of the role of operations management for this business. | **Outlines** influence(s) that are impacting this business's operations processes. | **Describes** supply chain management **AND/OR** outsourcing operations strategies. | **Limited** use of the information provided, demonstrating some knowledge and understanding relevant to the question | May include **some** features of a business report and uses basic business terminology |
| **Band E (1-4)** | **Some** reference to the business or introduction | Makes **some reference** to operations management for this business. | Makes **some reference** to influences that are impacting this business's operations processes. | Makes **some reference** to supply chain management **OR** outsourcing operations strategies. | | Uses **basic** business terminology |

| What went well | Even better if (next time) |
|---|---|
| • Clear formatting and use of terms.<br>• Clear definitions.<br>• Good links to objectives in influences/processes.<br>• In-depth discussion.<br>• Detailed reasoning for use of strategies, linking to objectives. | • Introduce the Role section rather than just getting straight into the terms. What is Role of Ops?<br>• More specific reference to processes in Influences. |

**Mark: 18**